general supervision of the economic Adviser to the bank. Joshi was assisted by Dr B.K. Madan, who, for this purpose visited important Economic, financial, and central banking research institutions in the US and Canada in 1944 at the conclusion of his assignment as Secretary of the Indian Delegation to the Bretton Woods Conference.

The Department of Research and Statistics was organized into three major divisions, the Division of Monetary Research, the Division of Rural Economics, and the Division of Statistics. The first Directors of the Divisions were Dr B.K. Madan, B.R. Shenoy, and Dr N.S.R. Sastry, respectively. The officers of this department were recruited mostly from outside the bank through advertisement and selection by interview. A system was also instituted under which senior officers of the department were deputed to America, Canada, and the United Kingdom to acquaint themselves with the latest methods and techniques adopted in foreign countries in the compilation of international accounts. Through this Department the RBI also kept in close touch with developments in foreign countries by deputing officers to international conferences.

The new Department of Banking Operations dealt with all matters relating to the scheduled and non-scheduled banks. The residual Agricultural Credit Department, which consisted of only the Agricultural Credit Section, was thus organizationally better geared to play an active role in the sphere of agricultural finance.

REPATRIATION OF STERLING DEBT

Till the Mutiny of 1857, the sterling debt of the Government of India was insignificant i.e. only ₹4 crores out of a total debt of about ₹56 crores. On account of the expenditure in connection with the Mutiny, the sterling debt increased substantially to about ₹24 crores in 1860. From 1867 onwards there was a regular programme of borrowing in London for productive purposes, particularly irrigation and railways and as a result by 1913, the sterling debt had reached ₹269 crores. There was a further increase in the debt during the inter-war years, on account of government’s assuming responsibility for the control and management of company-managed railways, the railway annuities and the war gift of £100 million to the UK.